

Wolkite University
College of Business and Economics
Department of Management
Operations Management Model Exam

1. The best definition of operations management is?
 - A. OM is the set of activities that creates value in the form of goods and services
 - B. OM is the set of activities that creates value in the form of goods
 - C. OM is the set of activities that creates value in the form of services
 - D. OM is the set of activities that creates value in the form of tangible products
2. Is not true about the definition of operations management?
 - A. OM can be defined as the management of the conversion process
 - B. It converts land, labor, capital, and management inputs into desired outputs of goods and services
 - C. OM is a functional field of business with clear line management responsibilities.
 - D. Operations management is a *management* function not a business function
3. How large should the facility be is referred to :
 - A. Forecasting
 - B. Capacity planning
 - C. Facility layout
 - D. Inventory management
4. Which of the following is not the activities of operation managers?
 - A. Demand forecasting
 - B. Job design and work measurement
 - C. Quality management and control
 - D. Promoting and vending the product
5. _____ It is the ability to offer a wide variety of goods or services and customize them to the unique needs of clients.
 - A. Product flexibility
 - B. Volume flexibility
 - C. Quality

D. Cost

6. Which statement is not true about competitive priorities?
 - A. Companies that compete based on flexibility often cannot compete based on speed
 - B. Flexible companies typically do not compete based on cost
 - C. Flexible companies often offer greater customer service and can meet unique customer requirements.
 - D. Flexible companies tend to have more specific-purpose equipment's
7. Why operation strategies?
 - A. To use resources wisely
 - B. To support the business strategies
 - C. To exit from the market if the firm faces bankruptcy
 - D. To utilize the resources efficiently and support the business strategies
8. The various activities and responsibilities of product and service design include?
 - A. Translate customer wants and needs into product and service requirements
 - B. Refine existing products and services
 - C. Develop new products and /or services
 - D. Formulate quality goals
 - E. A and C
 - F. All
9. After a product idea has been developed it is evaluated to determine its likelihood of success this is called _____
 - A. Idea Development
 - B. Product Screening
 - C. Preliminary design and testing
 - D. Final design
10. In designing service, which areas of decision should be considered?
 - A. Physical goods
 - B. Services
 - C. Ideas
 - D. Physical goods and sensual benefits
11. Services with low customer contact are called _____
 - A. Quasi-manufacturing
 - B. Pure services
 - C. Mixed Services

- D. Integrated service
12. In which product design stage prototypes are built and tested?
- A. Preliminary Design and Testing
 - B. Final Design
 - C. Product screening
 - D. Idea development
13. Construction, shipbuilding, medical procedures, and creation of artwork, custom tailoring, and interior design are best examples of:
- A. Intermittent process
 - B. Repetitive process
 - C. Line process
 - D. Continuous process
14. Is true about intermittent and repetitive operation?
- A. Intermittent operations are used to produce a variety of products with different processing requirements in higher volumes.
 - B. Health-care facilities are best examples of repetitive operation
 - C. there is no standard route that all products take through the facility in intermittent operation
 - D. Intermittent operations tend to be capital intensive rather than labor intensive.
15. In making a capacity planning decision, an operation manager must focus on the following except?
- A. Identify the levels of capacity needed by the company now and in the future.
 - B. Develop alternative ways to modify its capacity
 - C. Identify factors affecting capacity requirement
 - D. Identify the products to be manufactured
16. The design capacity for engine repair in the company is 80 trucks per day. The effective capacity is 40 engines per day and the actual output is 36 engines per day. Calculate the utilization.
- A. 90%
 - B. 45%
 - C. 10%
 - D. 55%

17. If the efficiency for next month is expected to be 82%, what is the expected output? Refer the above question.
- A. 23.2 engines per day
 - B. 32.8 engines per day
 - C. 45 engines per day
 - D. 90 engines per day
18. In a warehouse location decision, the main objective is:
- A. Minimization of cost and speed of delivery.
 - B. Maximization of revenue
 - C. Minimization of cost
 - D. Speed of delivery
19. Why firms locate their business near to suppliers except?
- A. Perishability
 - B. Transportation costs
 - C. Bulk of products
 - D. Revenue concern
20. In a process layout;
- A. Resources used are specialized
 - B. Facilities are less labor intensive
 - C. Facilities are more labor intensive
 - D. Resources have greater rigid
21. What is/are not the goal of assembly line balancing?
- A. Obtain task groupings that represent approximately equal time requirements.
 - B. Minimizing the idle time along the line
 - C. Increasing the number of work station
 - D. Utilizing workstation in more effective and efficient manner
22. The MS car is to be assembled on a conveyer belt. Five hundred cars are required per day. Production time per day is 8 hours. Calculate cycle time?
- A. 96%
 - B. 96 Birr
 - C. 0.96 minutes
 - D. 4%
23. Is true about product layout?
- A. Used by companies that have repetitive processing systems
 - B. Layouts that group resources based on similar processes or functions

- C. The products are moved from one resource to another, based on their unique needs.
 - D. Process layouts are very common in universities
24. If the production planner designed a plan to exactly match the forecast of demand, the strategy used is called?
- A. Level production strategy
 - B. Chase production strategy
 - C. Stable production strategy
 - D. Back order strategy
25. Is false about aggregate planning and master scheduling?
- A. Aggregate planning links long-range and short-range planning activities
 - B. Master scheduling follows aggregate planning and expresses the overall plan in terms of the amounts of specific end items
 - C. Aggregate planning follows master scheduling and expresses the overall plan in terms of the amounts of specific end items
 - D. Aggregate planning is the process of planning the quantity and timing of output over the intermediate range (often 3 to 18 months)
26. Which philosophy of TQM concerned with continually striving to be better through learning and problem solving?
- A. Customer focus
 - B. Continuous improvement
 - C. Employee empowerment
 - D. Process focus
27. _____ costs associated with discovering poor product quality before the product reaches the customer site.
- A. Internal failure costs
 - B. External failure costs
 - C. Quality failure costs
 - D. Cost of poor quality